Business Relevance Has Become the New Credibility Challenge

Business Value: Within the context of this survey, 'business value' refers to outcomes that directly impact financial performance, operational continuity, or competitive advantage.
Business Acumen: Understanding operational priorities and linking workforce analytics to financial outcomes.
Strategic Advisor: Guide executive strategy with workforce insights and research.

The true limit to people analytics' corporate influence is a fundamental deficit in commercial alignment. The Delphi panel reveals that an analytics team's ultimate institutional weight hinges entirely on whether business leaders view workforce insights as directly relevant to their immediate operational and business outcomes.

Credibility increasingly depends on business impact

In Round 1, panelists consistently highlight the need to connect people analytics to operational and financial outcomes.

Several participants stress that analytics teams must move beyond reporting activity metrics and start explaining business implications.

Fiona Jamison notes that people analytics increasingly creates value by "***translating workforce data into actionable insights"*** connected to organizational outcomes.

Lisa I. Perez reinforces this perspective:

> "Decision-driven organizations have trusted, integrated data with clear definitions, start with a business question tied to outcomes leaders own, embed people metrics into leadership routines with named decision owners, and require action plans and follow-up so insights translate into measurable change."

Several experts also emphasize that many organizations already possess substantial workforce data. The challenge is not access to information but rather making insights operationally useful.

Andrew Sallee, Sr. Workforce Planning Consultant at T-Mobile, observes that many challenges remain process-oriented rather than technical:

"Most of the challenges and opportunities still feel more process-oriented than technical in nature."

Jeff Higgins, Founder and CEO of Lytiqs, emphasizes the need for standardized practices. He notes that the continuous rise of SaaS solutions and the proliferation of systems make data integration difficult, advocating for an equivalent of ***"GAAP accounting for HR."***

Business acumen is key to closing the execution gap

Round 2 reinforces this shift quantitatively. When asked which capabilities organizations should prioritize most to close the execution gap, business acumen ranks among the top responses at 58%.

These capabilities outrank predictive analytics, data integration, governance, and storytelling, suggesting that the primary limitation in people analytics is organizational, not technical.

Round 2 experts also identify fragmented systems (58%) and lack of ownership (42%) as the most common points of process breakdown.

The advisory board discussions reinforce this theme. Konstantin Tskhay, Founder and Managing Partner at Tskhay & Associates, explains that many organizations lack an effective operating layer between strategic leadership and technical analytics teams, limiting their ability to operationalize workforce insights.

Last year's research on people analytics reinforces this pattern. While 54% of organizations reported good or very good capability in generating data, far fewer report the same high capability in making constructive changes based on analytics insights (34%) or measuring the impact of workforce decisions (31%).

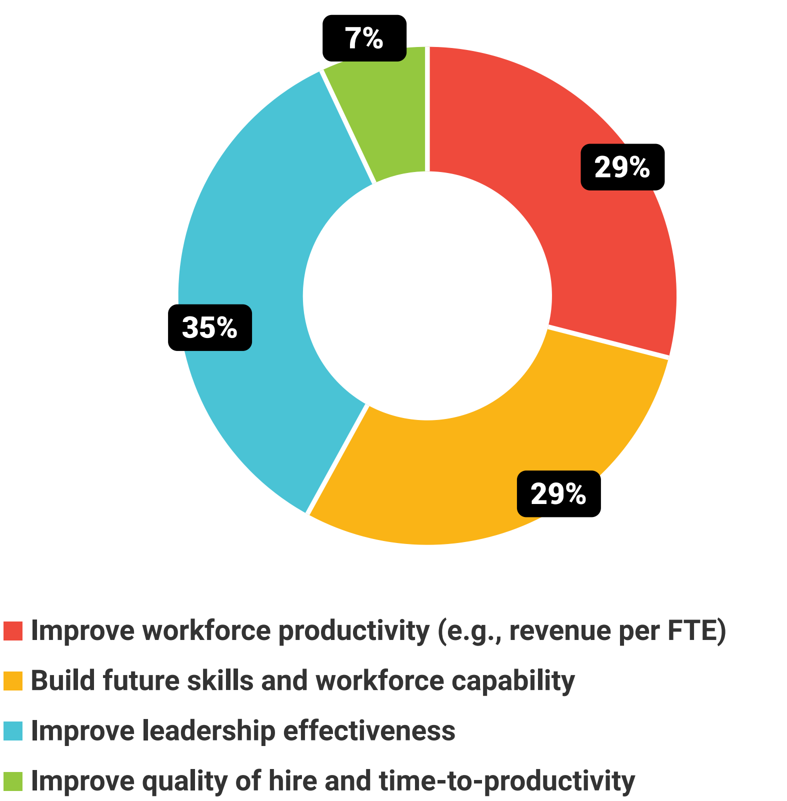
Leadership effectiveness is a key measure of business value

In Round 2, improving quality of hire and time-to-productivity along with building future skills and workforce capability ranks among the top workforce outcomes to focus on to demonstrate maximum business value at 58%.

However, the forced-choice structure in Round 3 produces a different result. Improving leadership effectiveness emerged as the top priority (35%) while building future workforce capability and improving workforce productivity are tied at 29%.

This shift suggests that although organizations continue prioritizing talent acquisition efficiency, experts increasingly view leadership capability, workforce adaptability, and productivity as stronger indicators of long-term business performance and organizational resilience.

Which of the following outcomes should PA focus on most to demonstrate maximum business value? (select one)



HRRI Strategic Recommendations

Based on our research, consider the following suggestions:

1. **Connect workforce metrics to operational KPIs.** Analytics teams gain credibility when workforce insights are tied directly to operational and business outcomes rather than isolated HR reporting metrics. This helps leaders evaluate workforce decisions in a broader business context and strengthens the operational relevance of people analytics. Integrate workforce analytics with:
    - productivity metrics
    - financial performance indicators
    - customer outcomes
    - safety and quality metrics
2. **Build stronger business acumen within analytics teams.** Business acumen emerged as one of the highest-priority capabilities for closing the execution gap. Analytics teams create greater influence when they understand how workforce decisions affect organizational performance. Encourage analytics professionals to strengthen their understanding of:
    - operational priorities
    - financial drivers
    - organizational strategy
    - workforce risks
3. **Translate workforce insights into executive language.** Several experts emphasize that leaders need interpretation and business context, not simply more workforce data. The ability to explain "what should happen next" increasingly differentiates high-impact analytics teams. Help analytics teams strengthen their ability to:
    - explain business implications
    - frame recommendations clearly
    - communicate operational risks
    - support strategic decision-making

4. **Focus on decision-critical metrics rather than dashboard volume.** Many organizations continue overwhelming leaders with excessive dashboards and disconnected reporting. Clear priorities improve adoption, executive engagement, and decision quality. Prioritize a smaller set of workforce indicators tied directly to:
   - strategic priorities
   - operational performance
   - critical talent risks
   - workforce productivity
5. **Improve integration between HR and business data systems.** The findings repeatedly highlight that analytics teams struggle to demonstrate business relevance when workforce data remains disconnected from operational and financial systems. This improves the organization's ability to connect workforce decisions to measurable business outcomes. Strengthen integration between HR data and:
   - finance systems
   - operational systems
   - productivity measures
   - customer performance data